



Ashok Chandra,
Managing Director and CEO,
Punjab National Bank

PHOTO BY **HARDIK CHHABRA**

The Strategy



PNB has been focussing on NPA management, which has boosted profits



New savings products expected to help the bank mobilise deposits



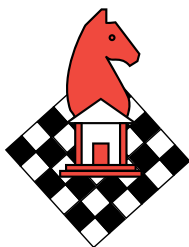
Likely to dilute stake in Canara HSBC Life Insurance; listing likely in Q3FY26



Upbeat on credit offtake, plans to build RAM (retail, agri, MSME) book, expects corporate loans to grow



Building a new credit card vertical, has launched cash management services



ment services wherein it plans to focus on supply chain financing, vendor financing and dealer financing. Chandra sees a big market for cash management services which has just a few players as it requires a robust digital framework.

PNB is also working on expanding its credit card business with a separate vertical and plans to onboard at least 300,000 customers this fiscal to take its total credit card customers to one million by the end of FY26.

"We will be aggressive in the credit card market," Chandra says, noting that it is a profitable business.

The bank is also looking forward to the listing of Canara HSBC Life Insurance. It currently holds 23% stake in the insurer of which it plans to sell 10%. The listing is likely by the third quarter of the fiscal.

The outlook for India's banking sector is largely favourable and lenders seem to have entered FY26 on a strong footing with healthy balance sheets, good credit growth, and solid asset quality.

Mishra of Ashika Institutional Equity expects a healthy system-wide credit growth of 12–14% led by retail, MSME, infrastructure, and government spending. However, profitability will depend on how quickly margins stabilise and funding costs normalise, he says.

Key challenges include margin compression from the ongoing reversal of the rate cycle, elevated competition for deposits from private and small finance banks, and potential stress pockets in small-ticket unsecured retail, MSME, and agriculture loans, he says, adding that any adverse fallout from global trade tensions could also impact the Indian banking sector.

PNB seems to be on course to deliver an all-round performance in FY26 as well. **BT**

@surabhi_prasad